EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Gonzaga for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotment and obligations of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

	2021	2020	Increase (Decrease)
Financial Position			
Assets	610,463,883.08	609,646,764.51	817,118.57
Liabilities	64,338,531.01	91,221,461.54	(26,882,930.53)
Government Equity	546,125,352.07	518,425,302.97	27,700,049.10
Financial Performance			
Income	252,408,762.29	241,182,170.97	11,226,591.32
Expenses	221,060,169.62	194,338,288.50	26,721,881.12
Appropriations, Allotments and Obligations			
Appropriations	299,793,280.00	261,863,595.00	37,929,685.00
Allotments	299,793,280.00	261,863,595.00	37,929,685.00
Obligations	230,906,515.90	193,969,661.29	36,936,854.61

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified opinion on the fairness of presentation of the financial statements of the Municipality of Gonzaga, Cagayan due to: (a) unreliable and incomplete Report on Physical Count on Property, Plant and Equipment as of December 31, 2021; (b) dropping of various items of Property, Plant and Equipment amounting P3,047,089.75 without basis and proper conduct of disposal procedures; (c) understatement of Depreciation Expense amounting to P5,498,376.34; and (d) unreliable and inaccurate balance of the Trust Liability-DRRM account amounting to P9,914,544.27.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Revenue collections amounting to P1,022,304.04 remained unremitted and undeposited with the authorized government depository bank and 191 pieces of Accountable Forms were still unaccounted, contrary to Sections 69 and 105 of Presidential Decree 1445, thus, exposing government funds to risk of loss, theft and misappropriation.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Exhaust all possible efforts, including legal remedies, for the immediate settlement of all the unremitted collections of the revenue collectors, including the proper accounting of the 191 pieces of missing/unaccounted AFs. Otherwise, appropriate charges may be imposed for failure to render accounts;

   b. Initiate the filing of appropriate charges against the defaulting accountable/responsible persons;

   c. Instruct the Municipal Treasurer to exercise the diligence of a good father of a family in supervising the accountable officers under her control, as well as Accountable Forms and reports, to prevent the incurrence of loss of government funds and property pursuant to Sections 69, 104 and 105 of P.D. 1445 and Item B of Section 60 of the Local Treasury Operations Manual to avoid becoming jointly and severally liable together with the erring collectors and collecting clerks designated as collectors.

2. **No retention money nor warranty security were secured/required by the Municipality from the suppliers of heavy equipment procured under the 20% Development Fund amounting to P11,333,000.00, contrary to Section 62.1 of the Republic Act 9184, thus, exposing the government to**

risk of possible loss arising from uncorrected defects.

We recommended that the Management:

a) Require the suppliers/contractors to post warranty security in accordance with Section 62 of the IRR of RA 9184, which shall remain effective for a minimum period of one (1) year from the date of acceptance by the Procuring Entity of the delivered supplies;

b) Review all procurement contracts during CY2021 and ensure that all goods procured are covered with warranty securities; and

c) Comply with the rules on warranties and all other related requirements provided in the IRR of RA 9184.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances	-	-	-	-	
Prior Years	-	3,080,000.00	2,965,656.04	114,343.96	96.29%
Current Year	-	-	-	-	
Total	**-**	**3,080,000.00**	**2,965,656.04**	**114,343.96**	**96.29%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations in the CY 2020 Annual Audit Report, five (5) were implemented, one (1) was partially implemented, and three (3) were not implemented and reiterated in Part II of this Report.